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Real-Time AI-Powered Loan Underwriting Strategy for Axis Bank

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Strategic Recommendation

By collaborating with two established fintech companies, Axis Bank should develop a real-time, AI-driven credit decisioning system:

- **HyperVerge** for verification of fraud and KYC processes, video KYC, and real-time verification of income streams.
- **FinBox** for AI-driven credit scoring and tailored, real-time loan proposals.

These platforms enable Axis to build a smart credit engine. Utilizing its advanced, cloud-native infrastructure and vast experience in digital innovations, Axis Bank will lead and control the ecosystem, orchestrating its design and implementation.

Rationale

Evolving Customer Expectations:

- Fintechs offer instant credit checks and personalized, digital loans, so customers now demand faster online lending. Axis Bank must match this pace to win and keep them.
- [ET CIO – Axis Bank doubles down on cloud](#)

Alignment with Axis Bank's Digital Lending Vision:

- To fulfil its pledge to offer purpose-specific credit to every Indian, Axis must scale digital lending with automated underwriting, alternative data models, and AI.
- [Bloomberg – Axis Bank's digital strategy](#)

Shifting Nature of Fraud Risk:

- Deepfakes, synthetic IDs, and altered documents are rising in onboarding. Axis needs stronger application-stage fraud controls beyond in-app OTPs.
- [LinkedIn – Sameer Shetty on in-app OTP](#)

Strategic Fit of Fintech Partnerships:

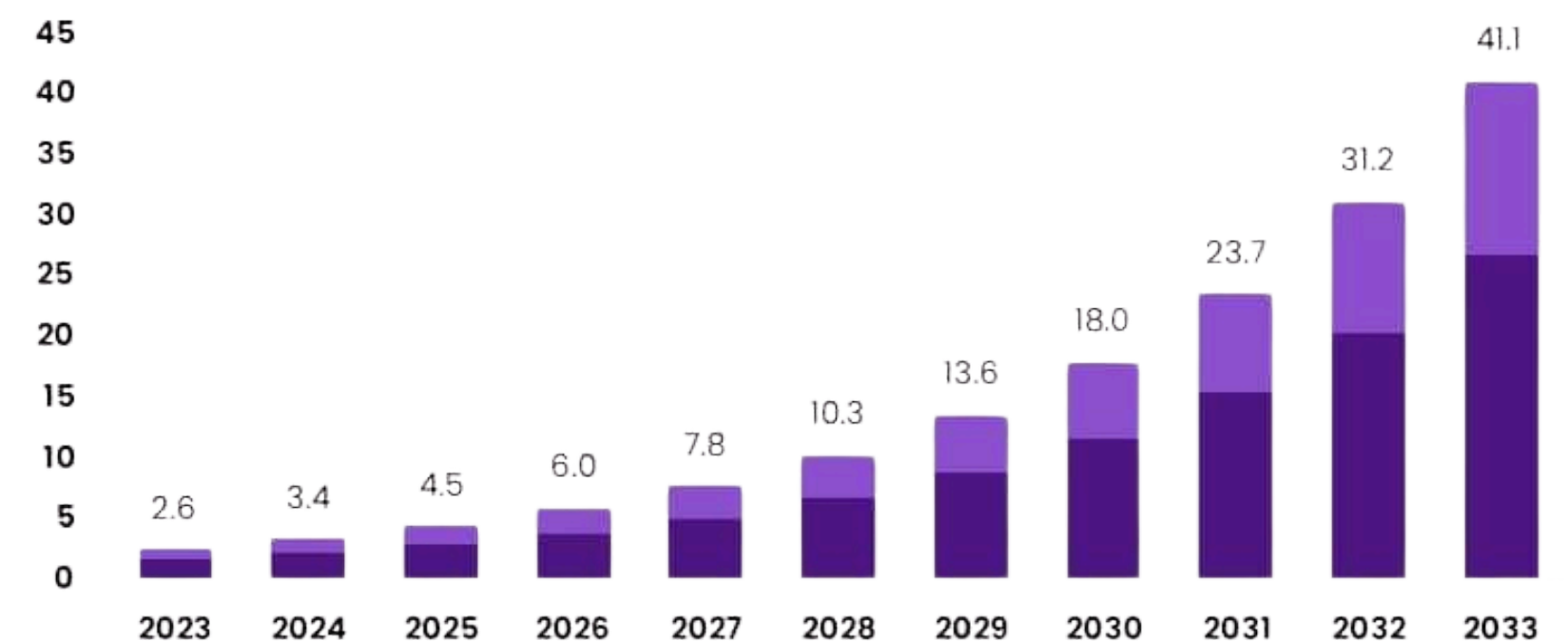
- With advanced fraud and video KYC, along with real-time income verification, HyperVerge provides enhanced security for onboarding.
- With FinBox, Axis is now able to offer customers dynamic loan proposals and real-time credit evaluation, due to the API-first architecture and model-ready ML of FinBox.

Technology Infrastructure readiness:

- Over twenty five critical applications are run by Axis, which provides an infrastructure that is technologically advanced.
- [AWS Press Release – Axis Bank on AWS](#)

Global AI in Underwriting Market

Size, by Component, 2023-2033 (USD Billion)



The Market will Grow
At the CAGR of:

31.8%

The Forecasted Market
Size for 2033 in USD:

\$41.1 B

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Relavance for Axis Bank

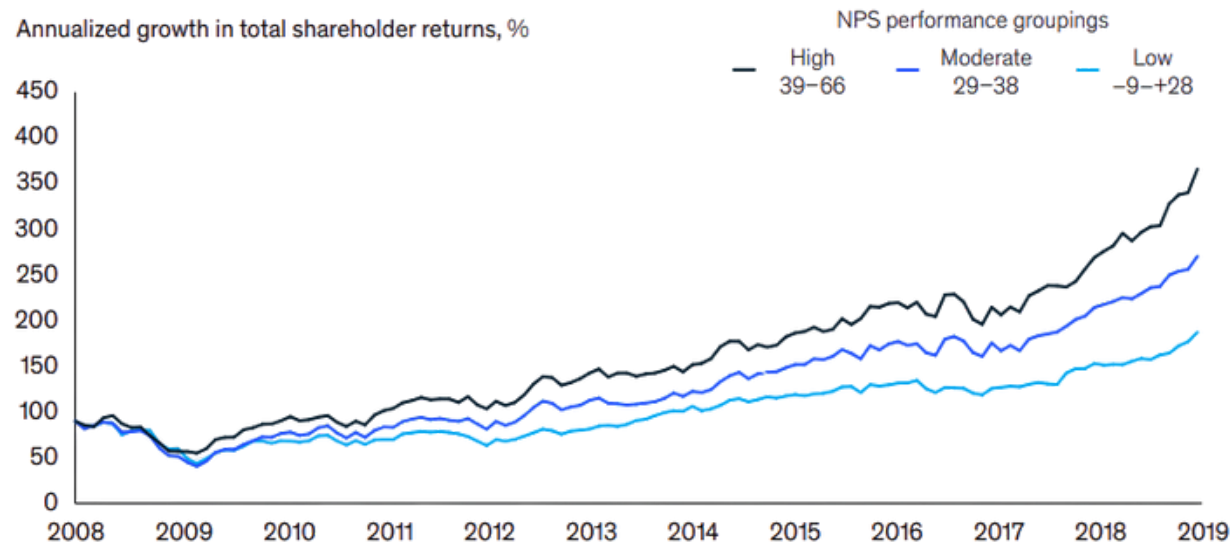
Axis already has the right tech foundation:

- **A cloud-first vision**
- **A microservices-based architecture**
- **Investments in AI, data, and developer ecosystems**

Its recent initiatives like real time authentication tools and frictionless digital onboarding highlight how important speed, security, and user experience have become. But the next logical step is to tie it all together into a real time, intelligent credit engine.

Companies with higher customer satisfaction tend to generate higher returns.

Change in total returns to shareholders (TRS) for companies with high, moderate, and low net promoter scores (NPS)¹



Source: McKinsey analysis; TRS data from DataStream 2008-2018; Temkin Group “October 2017 Net Promoter Score Benchmark Study”

Why Axis Bank Is Best Positioned

- **Infrastructure readiness:** Over 25 mission-critical apps on AWS; ongoing transformation of 70% of on-prem workloads to cloud.
- **In-house innovation culture:** Axis Thought Factory and Bankathon initiatives foster fintech integration and rapid experimentation.
- **Balanced AI adoption:** The bank grows its digital team (~800 AI staff) while committing to staff augmentation rather than displacement ensuring teams ready to adopt cutting-edge tools.



Business and Brand Impact

Here’s what this investment could deliver:

- **Faster loan approvals:** Reduce wait time from 2 days to just a few seconds—leading to better customer conversion and satisfaction.
- **Lower fraud losses:** By catching synthetic IDs, deepfakes, and suspicious behavior early.
- **Reduced NPAs:** AI-based underwriting improves risk precision and repayment outcomes.
- **Stronger brand positioning:** Establishes Axis as a leader in intelligent, secure, digital lending—on par with top fintechs, but backed by the trust of a major bank.
- [AWS Press Release – Axis Bank on AWS](#)

Factor	Assumption	Source/Insight
Initial pilot	₹50K–₹2L personal loans	Aligned with Axis digital lending targets & FinBox/HyperVerge use cases
Loan volume growth	15–20% annually	Based on retail lending growth trend (Axis Bank Annual Reports, RBI data)
Tech scalability	1-year pilot, full rollout by Year 2–3	Axis already cloud-native (AWS), with over 25 mission-critical apps
Fraud savings	~20–25% improvement	Based on HyperVerge’s track record in fraud/risk detection
NPA reduction	~15–20% from better scoring	Benchmark from Upstart (US) and Scienaptic (India)
AI cost efficiency	Ops cost drops 30–40% by Year 3	Due to automation and lower manual underwriting
Ongoing investment	₹5 Cr/year maintenance after rollout	Based on typical SaaS, model retraining, infra support